

Stereo H.C.J.D.A.38
JUDGMENT SHEET
IN THE LAHORE HIGH COURT, MULTAN BENCH,
MULTAN.
JUDICIAL DEPARTMENT

RFA No. 177 of 2018

The Bank of Punjab

Appellant

versus

Fazal Abbas & another

Respondents

JUDGMENT

Date of hearing

08.10.2019

Appellant by	Mr. Shahbaz Ali Gurmani, Advocate.
Respondents by	Mr. Muhammad Suleman Bhatti, Advocate.

MUZAMIL AKHTAR SHABIR, J.- Through this Regular First Appeal, filed under Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 ("**Ordinance**"), the appellant bank ("**appellant**") has called in question the judgment and decree dated 30.03.2018 ("**impugned decree**") passed by Judge Banking Court-III, Multan, whereby appellant's suit for recovery of Rs.551,194/- with markup, cost of funds and other charges was dismissed

2. Brief facts of the case are that the appellant filed a suit for recovery of Rs.551,194/- etc. against the respondents as borrowers, guarantors and mortgagors which was contested by them and the learned Banking Court after granting leave to defend to the respondents, framed issues on 21.11.2015 and thereafter dismissed the said suit vide judgment and decree dated 30.03.2018 while deciding Issue Nos. 3 and 5 against the appellant.

3. Learned counsel for the appellant has argued that judgment and decree passed by the Banking Court is against the law and facts on the subject, consequently, the same is liable to be set-aside.

4. Conversely, learned counsel for respondents has defended the impugned judgment and decree by contending that neither the appellant fulfilled the mandatory requirement of Section 9 of the Ordinance nor the statement of account was properly filed and got exhibited. Consequently, the same could not be used against the respondents.

5. Heard. Record perused.

6. It is observed that the appellant filed the suit for recovery of Rs.551,194/- against the respondents through Muhammad Naeem Akhtar, its Branch Manager, who was stated to be authorized to sign and verify the plaint and to make statement, appoint counsel and to do all other things and acts which are necessary and incidental thereto. It was claimed that respondent No.1 applied for running finance facility for establishment of business for sale of fertilizers and pesticides through written application which was sanctioned by the appellant bank on 02.09.2000 and was renewed on 23.08.2001 with expiry date of 30.06.2002 on markup basis at the rate of 46 paisa per thousand per day to be recovered quarterly against the security of hypothecated stocks of pesticides, personal guarantee of respondent No.2 and collateral registration of mortgage of property belonging to respondent No.2 and various financial documents were executed by the respondents in favour of the appellant which finance was not paid back within time by respondents and consequently the suit for recovery was filed.

7. In their application for leave to defend, the respondents raised various legal and factual objections against the suit entitling them for grant of leave to defend which was allowed vide order dated 21.11.2015 and, *inter-alia*, the following Issues were framed:

"Issue No.3

Whether plaintiff has not fulfilled mandatory requirements of section 9 of FIO, 2001? If so, its effect? OPD

Issue No.5

Whether a statement of account can be filed by the plaintiff on its own, without order of the court and same is readable in evidence? OPD"

The appellant as per Section 9(3) of the Ordinance while filing the suit was required to specify (a) the amount of finance availed by the respondents from the Financial Institution (b) amounts paid by the respondents to the Finance Institution with dates of payment and (c) the amount of finance and other amounts relating to finance payable by the respondents to the appellant up to the date of institution of the suit but the plaint is silent relating to amount of finance advanced to the respondents and only mentions that finance was sanctioned on 02.09.2000 and renewed on 23.08.2001. Further the plaint only mentions the due amount without mentioning that what was the actual principal amount and out of which how much payment had been made by the respondents and how the claimed amount was due and payable. Consequently, the plaint to that extent does not comply with the legal requirement provided in the afore referred Section.

8. Moreover, Section 9(2) of the Ordinance provides that plaint is to be supported by statement of accounts, duly certified under Bankers' Book Evidence Act, 1891("Act"). The statements of accounts initially appended with the plaint were prepared manually and although signatures of two officers are available on the same but certificate as required under Section 2(8) of the Act was not appended. Besides the said statements were not produced in evidence rather different statements of account which were neither relied upon nor appended with the plaint were produced in evidence as Exh-P25 for the principal account and Exh-P26 for the markup record without seeking permission of the Court. Moreover, Muhammad Naeem Akhtar who was stated to be duly authorized by the appellant to appear on its

behalf in evidence, neither himself appeared for the purpose of recording his evidence nor produced the said documents which were produced by one Zahoor Ahmad, who appeared in evidence on behalf of the appellant bank and for that purpose produced power of attorney Exh-P27 executed by Mehboob-ul-Hassan who had further delegated his authority to him, thus the said statements of account had neither been produced from proper custody by following the proper procedure nor has been proved in accordance with law especially Section 9(2) of the Ordinance and consequently cannot be relied upon.

9. The counsel for the appellant despite his hectic efforts has not been able to show us that the mandatory requirements of Section 9(2&3) of the Ordinance had been properly followed and complied with, therefore, the suit filed by the appellant failing to comply with the aforesaid mandatory requirement of law was liable to be dismissed. Reliance is placed on *Apollo Textile Mills Ltd and others vs. Soneri Bank Limited* (PLD 2012 S.C. 268). Consequently, the Banking Court was justified in deciding both the afore referred issues No.3 and 5 against the appellant and dismissing the suit filed by the appellant. The appellant has failed to show any illegality, erroneous exercise of jurisdiction or misreading and non-reading of the relevant record to warrant interference in the well founded judgment of the Banking Court whereby suit of the appellant has been dismissed.

10. For what has been discussed above, this appeal being devoid of any merit is *dismissed*.

(Jawad Hassan)
Judge

(Muzamil Akhtar Shabir)
Judge

Naveed *